

↓ MUTUAL FUND FUNDAMENTALS

Before I get into the details, you'll need to know what a mutual fund is. Mutual means shared, or in common. A fund is a sum of money set aside for a particular purpose. A **mutual fund** is a type of investment that pools together the money of thousands of people. At the helm is a fund manager—the person (or company)—in charge of investing the money. Depending on the type of fund, the fund manager generally invests the fund's money in a mixture of stocks, bonds, and money market instruments; these are all known as **securities**. (I'll explain all of these things in a moment.)

What's So Great About Mutual Funds?

Pooling your money with the money of other people works to your advantage because it allows you to reduce the risk you take as an investor. A mutual fund is typically invested in hundreds or even thousands of different stocks, bonds, or money market instruments. If you bought just one of these securities on your own, your success or failure would depend solely on the performance of that one security. When you invest in a mutual fund, though, you avoid putting all your eggs in one basket. So even if half the securities in the mutual fund lose value, you won't necessarily lose money; the other half may be profitable and may offset the losses with gains. The term for this investing principle is **diversification**.

Some people would argue that you're not really an investor unless you put money in individual stocks. And there's no doubt that it's much more exciting to follow one stock closely and watch it rise or fall. But I don't recommend individual stocks for people who are just starting out—or even for people who have been investing for a while—unless they can afford to lose that money. Buying individual stocks does not offer the diversification you get with mutual funds. (But if you still want to buy individual stocks despite my warnings, see chapter 5 for the best way to go about it.)

Mutual Fund Shares and Where They Are Sold

When you invest in any type of mutual fund, technically you're purchasing units known as **shares**. As shareholders, you and thousands of others are in fact the owners of the fund. The fund's share price—meaning the price at